GCF = Gross Savings + Net capital inflow from ROW

Gross Savings = Savings of non-financial corporations + Savings of financial corporations + Savings of General Government + Savings of households

Net capital inflow from abroad is capital inflow from ROW to economic territory less capital outflow from economic territory to ROW.

Box 2.3. Institutional sector wise GCF

The investment made by the following institutional sectors

1. Public non-financial corporations
2. Private non-financial corporations
3. Public financial corporations
4. Private financial corporations
5. General government
6. Household sector, in the following assets are added together to arrive at institutional sector wise GCF:

i) Dwellings, other buildings & structures

ii) Machinery & equipment

iii) Cultivated biological resources

iv) Intellectual property products

In the way the CGF calculated by institutional sector wise it can be calculated industry (agriculture industry, mining, etc) wise. It is called **industry of use method**. However, GCF by industry of use and by institutional sectors does not include "valuables", and therefore, these estimates are lower than the estimates available from commodity flow.

The estimates of GCF through the flow of funds approach are treated as the firmer estimates as the data availability for fund flow